As on March 31, 1937, the funded sterling debt stood at £357.3 million or the equivalent of ₹476 crores.

While exchange control was put in place for the purpose of conserving scarce dollar resources, the vast acquisition of sterling as a result of the war provided an opportunity for the repatriation of its sterling debt. The bank played a pivotal role in the repatriation of sterling debt and apart from taking the initiative in this matter also implemented the numerous details of repatriation. The bank and the Government of India were in agreement, but differences cropped up with the India Office, the British Treasury, and the Bank of England, both on matters of principle as well as detail. The *History* observes, 'Nevertheless, with dogged perseverance from the Indian side, it was possible to put through the operations in a remarkably successful manner.'[22]

The repatriation of sterling debt began in 1937–38, on a modest scale. During the war years, however, repatriation was undertaken on a large scale with the major part of the debt being repaid by the middle of 1943. Initially, the repatriation was on a voluntary basis, but from early 1941, schemes of compulsory repatriation were brought into effect. Later, the Railway Annuities were also funded. Requisitioning of the Railway Debentures Stocks and liquidation of the Chatfield debt were other forms of sterling debt repatriation. By March 1946, sterling debt of the value of £323 million had been repatriated. The bank and the Government of India were, however, unsuccessful, during the war years, in persuading Britain to fund the sterling pension liabilities.[23]

Since the sterling used for the repatriation of debt belonged to the bank, arrangements had to be made to provide the bank with alternative rupee assets. The major part of the rupee finance for the first compulsory repatriation scheme was provided by the issue of rupee counterparts to the bank and the government, roughly on a fifty-fifty basis. Rupee finance for the second compulsory scheme was met by the issue of *ad hoc* Treasury bills to the bank.[24]